

Private Market Deal Report

VENTURE CAPITAL

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Industry Landscape

The AI market has seen rapid growth and disruption, driven by advancements in technology and shifting user expectations. It is estimated that the conversational AI market is to reach \$377 billion in revenue by 2032, up from \$66 billion in 2023. This reflects an exponential demand for enhanced customer experiences, streamlined business operations and innovative generative AI (GenAI) applications addressing specific business tasks.

Company Overview

Kore.ai, a leader in enterprise conversational and generative AI platform technology, announced \$150 million in funding. The strategic growth investment was led by FTV Capital, a sector-focused growth equity investor with a successful 25+ year track record of investing across enterprise technology, along with participation from NVIDIA and existing investors such as Vistara Growth, Sweetwater PE, NextEquity, Nicola and Beedie. The new funding will accelerate Kore.ai's market expansion and continuous innovation in AI to deliver tangible business and human value at scale.

Deal Structure

Kore.ai received a \$150m capital injection for its series D venture round at a pre-money valuation of \$650MM. The investment was led by growth equity firm FTV Capital for an 18.75% equity acquisition.

Investors

Lead - New Investor: FTV Capital

Follow-On Investors: Beedie Capital, NextEquity Partners, Nicola Wealth Capital Partners, NVIDIA, Sweetwater Private Equity, Vistara Growth

Investor Profile

FTV Capital is a growth equity firm specializing in three sectors: enterprise technology and services, financial services, and payments and transaction processing. The FTV team accelerates revenue growth and profitability in portfolio companies through industry-specific expertise. To date, the firm has raised \$6.2B and invested in 140 portfolio companies, including Agiloft, BillingPlatform, EBANX, Lean Solutions Group, LogicSource, Neptune Flood Insurance, and Patra.

Post-Close Vision

The \$150MM will be used to foster market expansion and accelerate innovation to deliver greater consumer value at scale.

Analyst Statement

Kore.ai's Series D funding round shows its position as a strong player in the rapidly expanding AI market. The \$150 million capital infusion at a pre-money valuation of \$650 million, led by FTV Capital, represents confidence from the investment community in Kore.ai's vision and its potential to become a leader in the conversational and generative AI space. With the AI market projected to grow from \$66 billion in 2023 to \$377 billion by 2032, the demand for better customer experiences and quicker business operations in AI is growing. Kore.ai is well-positioned to capitalize on this growth. The involvement of a seasoned investor like FTV Capital, alongside the backing from a diverse group of follow-on investors such as NVIDIA, shows that there is trust in Kore.ai's direction and the effectiveness of its technology. Given the strong deal structure, robust investor profile, and clear vision for the post-close use of funds, Kore.ai appears to be on a trajectory for growth and market leadership.